

Research Briefing | France

French recovery plan won't boost short-term growth

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French government announces €100bn recovery plan based on investment and structural reforms

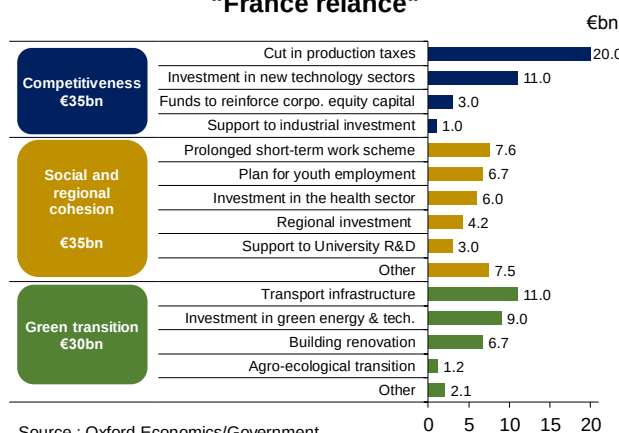
Figure 1 – the French recovery plan “France Relance” is clearly supply-oriented

- The French government finally unveiled the details of its €100bn recovery plan, 40% of which stems from the EU's recovery fund. At around 4.0% of GDP over 2021-2024, the package is large but relies strongly on investment plans that are typically longer to translate into higher growth than more direct demand-oriented measures. Given the nature and magnitude of the current shock, this raises concerns about the plan's capacity to spur activity in the short term.
- Our forecasts already included fiscal support of this magnitude, so the lack of short-term boost measures has led us to slightly downgrade our forecasts for 2021 as France's economy already seems to be cooling rapidly. While we still expect a recession of 10.1% in 2020, we now see a milder rebound of only 7% in 2021, down 0.4pts. We will monitor the execution of the plan closely as any delay in deploying the measures would likely introduce further downside risks.

After more than three months of preparation, the French government has finally presented the details of its €100bn post-lockdown recovery plan called “France Relance”, which will be 40% financed by the EU. Clearly supply-oriented, the package relies heavily on medium-term investment plans and structural reforms. It has three axes:

- (1) **€35bn to spur French industrial competitiveness** and support industrial relocation, with €20bn of corporate production tax cuts planned for 2021-2022;
- (2) **€35bn to increase social cohesion**, notably through prolonging the short-term work scheme, supporting youth unemployment and stimulating investment in hospitals; and
- (3) **€30bn to support the green transition** focused on building renovation, greener transport, investment in green technologies and energy, and decarbonisation of industry and agriculture. With this, the green transition makes a big comeback in the government's priorities after the 2019 *gilets jaunes* crisis (triggered by fuel tax hikes) undermined President Macron's ecological agenda.

France: Breakdown of the €100bn recovery plan “France relance”



The recovery plan presented by the French government is highly aligned with the initial ambitions of President Macron of transforming France into a more competitive nation. While positive for growth potential, we think the measures will be too slow at providing the boost the economy needs after the shock caused by lockdown.

At face value, the package is large, but the real new fiscal boost is around half of the headline figure

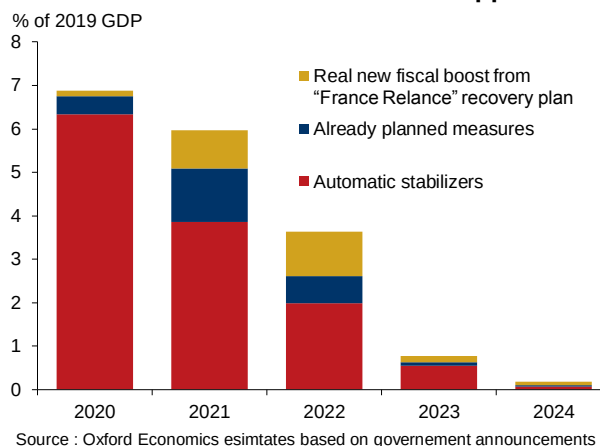
Figure 2 – only half of the package is real additional fiscal support

The details of the package have come a little late, limiting its ability to revive confidence

At face value, the package is large and ambitious. By representing 4.1% of 2019 GDP, the scale of the package is more than twice the fiscal stimulus deployed over the 2008-2009 crisis and is one of the largest recovery support schemes announced by the major European countries so far. The government expects the package will help create 160k jobs from next year - broadly wiping out a quarter of the total job losses we expect in 2020 due to the coronavirus shock - and hopes to bring the unemployment rate significantly below 10% by 2022. In the longer term, the government thinks the measures will increase the economy's potential growth by 1% over the next ten years.

But the real additional fiscal support is lower than the headline number advanced by the government. We estimate that the real new fiscal boost is roughly half of the headline amount, at around 2.0% of GDP, as most measures were already on the cards (Figure 2). In fact, several measures were part of previous plans such as the prolonged partial unemployment scheme or the plan to support youth employment, which combined represent 14% of the new package announced. Similarly, the cut in production taxes (20% of the total) had been debated long before the coronavirus hit and had been already unofficially included in Macron's reform agenda. Several investment projects were also already in the pipeline. The French stimulus plan is thus similar to [the German package](#), which also fell short of its lofty headline number.

France: Coronavirus-related fiscal support



Despite the headline figure of €100bn for the "France Relance" recovery plan, the actual new fiscal boost will be around half of that amount as several measures were already planned.

Despite the large numbers advanced, we think that the package's effect on both business and consumer confidence could be limited as its announcement comes after much delay compared to the swifter responses from other major economies such as [Germany](#), the [US](#) or [China](#), which implemented measures to boost growth from June. President Macron announced the package more than three months ago, but the unveiling of the details was postponed several times due to a government reshuffle and France's worsening health situation. It seems that the government was also waiting for the EU Recovery Fund to be agreed in order to include the grants allocated to France in its stimulus package. While these grants will limit the hit to the French budget, we still see the deficit widening to over 11% of GDP in 2020 (3% in 2019) and remaining above 8% in 2021. This will push public debt to close to 120% of GDP by next year.

While the supply-oriented package is in line with President Macron's initial ambitions of transforming France into a more competitive nation, we think the lack of demand-support measures makes the package ill-suited to address the current shock. Investment plans and structural reforms typically take longer to translate into higher growth than more direct demand-oriented measures, such as the [VAT cut](#)

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[implemented by Germany](#) from July. We therefore do not expect much of the stimulating effect to materialise before late 2021. The government has justified the lack of demand-oriented measures by stating that households already benefited from large fiscal stimulus measures in 2019 following the *gilets jaunes* crisis. It has also asserted that the forced savings accumulated during lockdown - which soared to 27% in Q2 2020 from 15% in Q2 2019 - will support the recovery. But given the magnitude and the nature of the shock caused by the coronavirus-induced lockdowns, this focus on supply raises concerns about the effectiveness of the plan in terms of preserving jobs and avoiding bankruptcies in the short term if demand fails to pick up. Consumer confidence reversing some of its earlier gains in July and August does not reassure us either, as it suggests that households are becoming more cautious with increasing concerns about unemployment. If household sentiment does not recover, consumers are likely to continue piling up precautionary savings instead of spending them, limiting the recovery. In addition, the recent resurgence of contagions also risks weighing on consumer behaviour and limiting the resumption of social consumption as fears of a second wave of infections mounts.

Figure 3 – consumer confidence remains hesitant

France: Consumer confidence



Source: Oxford Economics/ Haver Analytics

As consumer confidence remains hesitant amid high concern about unemployment, households are likely to continue piling up precautionary savings rather than increasing spending, while the threat of a second wave of contagions looms.

Government needs to see rapid results but will likely struggle to stick to its schedule

The lengthy process of putting together the support package has put the French government in a *de facto* race against time as it now needs the additional spending to be deployed rapidly to be efficient in offsetting the massive impact of the current economic shock. The Presidential elections scheduled for May 2022 also mean that the government will want to see the package bearing fruits quickly. However, the positive effects of the package might not become visible for the average consumer before several months have passed, which could have important implications for the election campaigns.

Keeping the schedule of disbursements on track seems challenging, and risk of misallocation is high. While the plan should run until 2024, the government hopes that most of the package will be deployed within the next two years with at least 30% of the funding already released by 2021. A mechanism to accelerate the disbursements has been put in place by the government, where funds unutilised before the deadline will be reallocated to other projects. But the government is likely to encounter difficulties sticking to its schedule as planned as investment projects need time to materialise. And with the pressure of keeping the schedule on track, the risk of misallocation of resources is high.

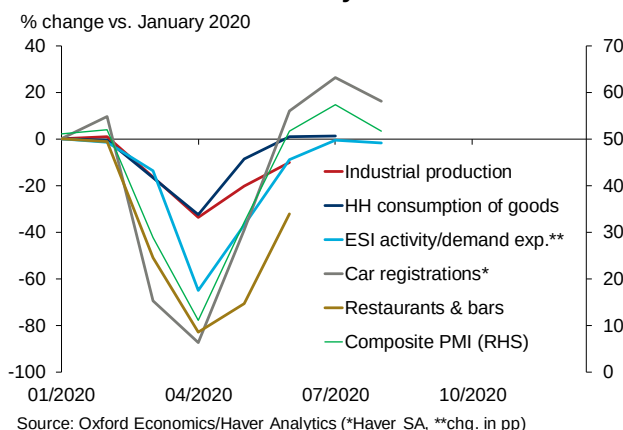
We have cut our forecasts for 2021

While the overall size of the package is roughly in line with our expectations, we do not think that it will be able to boost economic growth as rapidly as hoped, while the latest data suggest that activity is already cooling down rapidly. Consequently, we have nudged down our growth forecasts for 2021 in our [updated baseline](#)

released yesterday. We continue to see the French economy plunging by a historic 10.1% in 2020. But we have cut our GDP growth forecast by 0.4pts for 2021 to 7.0%. We do not see GDP or employment returning to their pre-crisis levels before mid-2022 at the earliest.

Figure 4 – activity is already cooling after the strong post-lockdown rebound

France: Pandemic recovery tracker



Latest hard and soft data show the economy is already cooling after strong post-lockdown rebound.

Any delays in deploying the measures will introduce further downside risks to the outlook

We will closely monitor the progress of the recovery plan, as any delays in deploying the measures would mean further downside risks to the outlook. The strong emphasis on medium-term investment and the economy's growth potential in the French stimulus package reinforces [concerns that we had already raised about the EU recovery fund](#), which proposed a similarly limited near-term boost to demand. Combined with the lacklustre national fiscal responses elsewhere in Europe, this suggests that the broader EU economy may struggle to continue to recover strongly in the coming quarters until governments manage to jump-start growth through their own investment plans. /